

NOT YET APPROVED

Ordinance No. _____

Interim, **Urgency** Ordinance of the Council of the City of Palo Alto Excluding from the Effect of Government Code Section 65912.157 Those Properties Designated as Local Historic Resources Pursuant to Palo Alto Municipal Code Chapter 16.49 and Amending the Zoning Map (Palo Alto Municipal Code Section 18.08.040)

The Council of the City of Palo Alto ORDAINS as follows:

SECTION 1. Findings and Declarations. The City Council finds and declares as follows:

- A. On October 10, 2025, the Governor of the State of California signed Senate Bill 79 (SB 79), which adopted California Government Code sections 65912.155 through 65912.162 and requires local agencies, effective July 1, 2026, to permit high density residential development in designated transit-oriented development (TOD) zones within one-half mile of certain TOD stops.
- B. There are three TOD zones in Palo Alto, centered on the Palo Alto, California Avenue, and San Antonio Road Caltrain stations.
- C. California Government Code section 65912.157 sets forth residential development standards that apply to housing development projects within TOD zones, such as a height of 75 feet, density of 120 dwelling units per acre, and floor area ratio of 3.5 for projects within one-quarter mile of a Caltrain station.
- D. Government Code section 65912.161, subdivision (b), permits local agencies to exclude certain properties from compliance with Government Code section 65912.157 by adopting an ordinance implementing SB 79, including:
 - a. A site that permits density and residential floor area ratio at no less than 50 percent of the standards specified under Government Code section 65912.157.
 - b. Sites with a historic resource designated as of January 1, 2025, on a local register.
- E. The City Council desire to adopt an ordinance pursuant to Government Code section 65912.161, excluding sites designated as local historic resources on the Palo Alto Historic Resources Inventory pursuant to Palo Alto Municipal Code (PAMC) Chapter 16.49.
- F. SB 79 charges the California Department of Housing and Community Development (HCD) with promulgating regulations relating to the bill by July 1, 2026. SB 79 further chargers metropolitan planning organizations with creating maps of TOD stops and zones in accordance with HCD guidance.
- G. HCD issued a set of “advisory clarifications on definitions for Metropolitan Planning Organizations” on March 23, 2026. The Metropolitan Transportation Commission (MTC),

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the metropolitan planning organization for the San Francisco Bay Area, released preliminary draft maps on April 8, 2026.

- H. Due to the short time between the issuance of guidance from HCD and MTC and the July 1, 2026 effective date of Government Code section 65912.157, there is insufficient time for the amendments to the zoning map proposed in this ordinance to be presented for review by the Planning and Transportation Commission. Accordingly, pursuant to PAMC section 18.80.090, the City Council adopts this ordinance as a temporary measure to preserve the public health, safety, or welfare.
- I. The City Council finds and declares that the implementation of Government Code section 65912.157 on July 1, 2026 will create significant incentive for redevelopment of properties in the TOD zones at densities that would create unanticipated strain on public infrastructure and cause additional points of conflict between vehicles and bicycles or pedestrians in the effected areas. The rezoning and exclusion actions set forth in this ordinance would reduce these impacts for a temporary period, during which the City may plan for increased demands on infrastructure and transportation resources. Accordingly, this ordinance is necessary as an emergency measure pursuant to PAMC section 2.04.270 to preserve the public peace, health, or safety.
- J. Additionally, the City Council finds and declares that the impacts described above present a current and immediate threat to the public health, safety, or welfare that would be realized by approval of projects under the standards set forth in Government Code section 65912.157. There are no pending project applications that would be impacted by this ordinance and this ordinance would not have the effect of denying any approvals needed for the development of projects containing multifamily housing. Accordingly, for the reasons set forth above, this ordinance is necessary as an interim, urgency measure pursuant to Government Code section 65858 to protect the public health, safety, or welfare.

Commented [AY1]: Only for urgency.

SECTION 2. Section 18.14.070 (Transit Oriented Development (TOD) Combining District) of Chapter 18.14 (Housing Incentives) of Title 18 (Zoning) of the Palo Alto Municipal Code is hereby added to read:

18.14.070 Transit Oriented Development (TOD) Combining District

(a) Purpose. The purpose of the TOD Combining District is to implement Senate Bill 79 (2025), California Government Code sections 65912.155 through 65912.162. For purposes of this section, definitions in California Government Code section 65912.156 shall apply.

(b) Applicability. The TOD Combining District shall apply to all sites within a TOD zone, except sites designated as local historic resources on the Palo Alto Historic Resources Inventory as of January 1, 2025.

(c) Development Standards. The development standards set forth in the underlying district shall apply, except as follows:

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(1) For sites within ¼ mile of a TOD stop, unless the underlying district is more permissive:

Maximum Floor Area Ratio	1.75:1
Minimum setbacks (feet)	
Front and rear	10
Side	4
Daylight Plane for lot lines abutting a low density residential district (RE, R1, NV-R1, R2, NV-R2, RMD)	Initial height: 16 feet, measured at the property line Slope: 45 degrees
Maximum density	None

(2) For sites further than ¼ mile but within ½ mile of a TOD stop, unless the underlying district is more permissive:

Maximum Floor Area Ratio	1.5:1
Minimum setbacks (feet)	
Front and rear	10
Side	4
Daylight Plane for lot lines abutting a low density residential district (RE, R1, NV-R1, R2, NV-R2, RMD)	Initial height: 16 feet, measured at the property line Slope: 45 degrees
Maximum density	None

(3) For sites adjacent to a TOD stop, Maximum Floor Area Ratio shall be the greater of 2.25 or the FAR provided in the underlying zone.

SECTION 3. Pursuant to Government Code section 65912.161, subdivision (b)(1), sites subject to the TOD Combining District are hereby temporarily excluded from the application of Government Code section 65912.157. These sites shall be excluded until one year following the adoption of the City's seventh cycle Housing Element.

SECTION 4. The Director of Planning and Development Services is hereby authorized and directed to update Section 18.08.040 (the Zoning Map) of Title 18 (Zoning) of the Palo Alto Municipal Code to indicate which sites within the TOD zones are and are not covered by Government Code section 65912.157, including sites excluded pursuant to this Ordinance.

SECTION 5. If any section, subsection, sentence, clause, or phrase of this Ordinance is for any reason held to be invalid or unconstitutional by a decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this Ordinance. The City Council hereby declares that it would have passed this Ordinance and each and every section, subsection, sentence, clause, or phrase not declared invalid or

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unconstitutional without regard to whether any portion of the Ordinance would be subsequently declared invalid or unconstitutional.

SECTION 6. The Council finds that the Ordinance is not a project under the California Environmental Quality Act (CEQA) pursuant to Government Code section 65912.160, subdivision (c)(2), because it makes the City's zoning code consistent with the provisions of SB 79 as set forth in Government Code section 65912.161, subdivision (b), and by amending the zoning map to indicate which sites are and are not subject to Government Code section 65912.157.

SECTION 7. This Ordinance shall be effective upon adoption by a four-fifths vote of the City Council and shall expire 45 days thereafter.

OR

This Ordinance shall be effective on the thirty-first date after the date of its adoption.

INTRODUCED and PASSED:

PASSED:

AYES:

NOES:

ABSENT:

ABSTENTIONS:

ATTEST:

City Clerk

Mayor

APPROVED AS TO FORM:

APPROVED:

Assistant City Attorney

City Manager

Director of Planning and
Development Services

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Attachment

Fee Category and Fee Title	FY 2026 Recommended Fee	Unit	Note:
Building Permit Fees			
Alternative Fee Arrangement			If project is out of scope from a traditional building structure and/or additional services are required, then an alternative fee arrangement may be established by the Chief Building Official to achieve cost recovery. This exception may apply in cases when construction valuation (commercial), square footage (residential), or stand-alone fees are not practicable for the project.
Construction and Demolition			
Demolition Permit	1,195	per permit	Price does not include C&D Fees
Noise Exception	211	each	
Electrical Permits			
Energy Storage System - Single-Family System	450	per permit	Available as instant permit Available as instant permit
Energy Storage System - Multi-Family / Commercial System	1,000	per permit	
Electrical Service - New or Replacement: 400 amp and Greater	958	each	
Electrical Service - New or Replacement: Less than 400 amp	621	each	
SolarAPP+PV and ESS	450	per permit	
SolarAPP+PV	450	per permit	
Electrical Permits - Electrical Vehicle Charging Stations			
Single-Family (Level 1 and 2)	1,327	per station	
Single-Family (Level 3)	1,527	per station	
Multi-Family / Commercial (Level 1 and 2): 1-6 Stations	4,326	for 1-6 stations	
Multi-Family / Commercial (Level 1 and 2): Each addl 6 stations	1,134	for each additional station	
Multi-Family / Commercial (Level 3 and 4): 1-6 Stations	5,238	for 1-6 stations	
Multi-Family / Commercial (Level 3 and 4): Each addl 6 stations	1,134	for each additional station	
Electrical Permits - Photovoltaic Systems			
Multi-Family / Commercial System (10kW or less)	1,000	per permit	Plus an additional \$7 per kw>51k but less than 250k, \$5 per kw>250k.
Multi-Family / Commercial System (11kW-49kW)	1,000	per permit	
Multi-Family Commercial System (50kW or greater)	1,000	per permit	
Single-Family Systems (10kW or less)	450	per permit	Plus an additional \$15/kw > 15.
Single-Family Systems (greater than 10kW)	450	per permit	
Single-Family Systems (Reinstallation)	450	per permit	
Mechanical Permits			
HVAC Systems (i.e., Air Conditioners, Heat Pumps, Air Handling Unit): Multi-Family / Commercial (Groups of 5): Direct replacements	902	per permit	
HVAC Systems (i.e., Air Conditioners, Heat Pumps, Air Handling Unit): Multi-Family / Commercial (Groups of 5): New - with curb	1,539	per permit	
HVAC Systems (i.e., Air Conditioners, Heat Pumps, Air Handling Unit): Multi-Family / Commercial (Groups of 5): New - without curb	1,232	per permit	
HVAC Systems (i.e., Air Conditioners, Heat Pumps, Air Handling Unit): Multi-Family / Commercial (Groups of 5): New - without curb	714	per permit	
HVAC Systems (i.e., Air Conditioners, Heat Pumps, Air Handling Unit): Single-Family			
Plumbing Permits			
Solar Hot Water System	450	per permit	
Subdivision - Four or Less Parcels			
Conditional Use Permit - Day Care Center	219	each	

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